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Digital Business Transformative Foundations

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Week 7 Project/Presentation Notes

KPI Table:

KPI:	What We're Measuring:	Type:
1. Marriott Bonvoy membership	Growth of Marriott's loyalty ecosystem	Leading
2. Direct booking percentage	Reduced dependence on third-party booking channels	Lagging
3. Digital Booking Adoption	Customer adoption of Marriott's digital channels	Leading
4. Revenue per available room (RevPAR)	Revenue performance across the hotel portfolio	Lagging
5. Worldwide room growth	Expansion of Marriott's distribution network	Leading
6. Operating margin	Whether growth translates into profitability	Leading
7. Loyalty-related room nights	How effectively membership converts into transactions	Leading
8. Revenue per employee	Potential operational leverage from technology	Lagging

KPI Analysis:

KPI 3: Digital Booking Adoption — Leading Indicator

- **KPI Rationale:** Measures the percentage of customers who use Marriott's digital channels, such as its website and mobile app, to research, book, and manage hotel

reservations. Increasing digital booking adoption can reduce reliance on manual booking processes, improve customer convenience, and support Marriott's broader digital transformation strategy.

- **Strategic Interpretation:** Rising digital booking adoption suggests that customers are increasingly comfortable interacting with Marriott through its digital ecosystem. This can create opportunities to strengthen customer relationships, encourage Marriott Bonvoy membership, and increase direct bookings. However, adoption alone does not guarantee higher revenue or profitability; Marriott must also ensure that digital channels convert customer engagement into completed reservations.

KPI 4: Revenue per Available Room (RevPAR) — Lagging Indicator

- **KPI Rationale:** Measures Marriott's room revenue performance by combining average daily room rates with occupancy levels. RevPAR helps evaluate whether Marriott is effectively balancing room pricing and demand across its hotel portfolio, providing insight into the financial results of its commercial and digital strategies.
- **Strategic Interpretation:** Increasing RevPAR indicates that Marriott is generating more room revenue from its available capacity, potentially through stronger demand, higher room rates, improved occupancy, or a combination of these factors. When considered alongside digital booking adoption, RevPAR helps determine whether growing digital engagement is occurring alongside stronger hotel revenue performance. However, RevPAR is also influenced by seasonality, market conditions, competition, and broader travel demand.

KPI Analysis (Inflection Point):

Combined Inflection Point (KPI 3: Digital Booking Adoption + KPI 4: RevPAR):

The inflection point occurs when increasing customer adoption of Marriott's digital booking channels begins to coincide with sustained growth in Revenue per Available Room (RevPAR). This signals that Marriott's digital transformation is moving beyond customer engagement and potentially generating measurable financial value through improved booking conversion, stronger demand, and more effective room pricing. When digital adoption and RevPAR rise together, Marriott can assess whether its digital strategy is translating into stronger revenue performance and a competitive advantage across its hotel portfolio. → **Timing (12-24 Months)**

Additional Takeaways:

KPI 3-4 Table:

KPI:	Strategic Role:	What Marriott Should Look For:
3. Digital booking adoption	Leading indicator	Customers increasingly choose Marriott's digital channels.
4. RevPAR	Lagging indicator	Hotel room revenue performance improves as digital adoption grows.
Combined interpretation	Digital-to-financial performance	Whether increased digital adoption translates into stronger room revenue outcomes.

Overall takeaway:

- Digital booking adoption measures whether Marriott's digital strategy is gaining customer traction, while RevPAR measures whether the business is achieving stronger room revenue performance. The key inflection point is when customer adoption begins to align with measurable financial improvement, demonstrating potential value from Marriott's digital transformation.